

**UNIVERSITY OF SOUTH CAROLINA**  
**Notes to the Financial Statements**

**NOTE 5 - PENSION PLANS, Continued**

**Long Term Expected Rate of Return** - The long-term expected rate of return on pension plan investments is based upon 20 year capital market assumptions. The long-term expected rate of return represents assumptions developed using an arithmetic building block approach primarily based on consensus expectations and market based inputs. Expected returns are net of investment fees.

The expected returns, along with the expected inflation rate, form the basis for the target asset allocation adopted at the beginning of the 2023 fiscal year. The long-term expected rate of return is produced by weighting the expected future real rates of return by the target allocation percentage and adding expected inflation and is summarized in the table below. For actuarial purposes, the 7.00 percent assumed annual investment rate of return used in the calculation of the TPL includes a 4.75 percent real rate of return and a 2.25 percent inflation component.

| Allocation / Exposure              | Policy Target | Expected Arithmetic Real Rate of Return | Long Term Expected Portfolio Real Rate of Return |
|------------------------------------|---------------|-----------------------------------------|--------------------------------------------------|
| Public Equity                      | 46.0%         | 6.62%                                   | 3.04%                                            |
| Bonds                              | 26.0%         | 0.31%                                   | 0.08%                                            |
| Private Equity <sup>1</sup>        | 9.0%          | 10.91%                                  | 0.98%                                            |
| Private Debt <sup>1</sup>          | 7.0%          | 6.16%                                   | 0.43%                                            |
| Real Assets                        | 12.0%         |                                         |                                                  |
| Real Estate <sup>1</sup>           | 9.0%          | 6.41%                                   | 0.58%                                            |
| Infrastructure <sup>1</sup>        | 3.0%          | 6.62%                                   | 0.20%                                            |
| Total Expected Return <sup>2</sup> | 100.0%        |                                         | 5.31%                                            |
| Inflation for Actuarial Purposes   |               |                                         | 2.25%                                            |
|                                    |               |                                         | 7.56%                                            |

<sup>1</sup> RSIC staff and consultant will notify the Commission if the collective exposure to Private Equity, Private Debt and Private Real Assets exceeds 30 percent of total plan assets.

<sup>2</sup> Portable Alpha Strategies, which are not included in the Policy Target, will be capped at 15% of total assets; hedge funds (including all hedge funds used in portable alpha implementation) are capped at 15% of total assets.

**Discount Rate** - The discount rate used to measure the TPL was 7.00 percent. The projection of cash flows used to determine the discount rate assumed that contributions from participating employers will be made based on the actuarially determined rates based on provisions in the South Carolina Code of Laws. Based on those assumptions, the System's fiduciary net position was projected to be available to make all the projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the TPL.

**Sensitivity Analysis** - The following table presents the collective NPL of the University calculated using the discount rate of 7.00 percent, as well as what the University's NPL would be if it were calculated using a discount rate that is 1.00 percent lower (6.00 percent) or 1.00 percent higher (8.00 percent) than the current rate.

| Sensitivity of the Net Pension Liability to Changes in the Discount Rate |                           |               |                                  |               |                           |
|--------------------------------------------------------------------------|---------------------------|---------------|----------------------------------|---------------|---------------------------|
| System                                                                   | 1.00% Decrease<br>(6.00%) |               | Current Discount<br>Rate (7.00%) |               | 1.00% Increase<br>(8.00%) |
| SCRS                                                                     | \$                        | 1,315,338,666 | \$                               | 1,017,988,841 | \$ 770,841,929            |
| PORS                                                                     |                           | 21,783,187    |                                  | 15,441,938    | 10,247,663                |

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**UNIVERSITY OF SOUTH CAROLINA**  
**Notes to the Financial Statements**

**NOTE 5 - PENSION PLANS, Continued**

**Additional Financial and Actuarial Information** - Detailed information regarding the fiduciary net position of the plans administered by PEBA is available in the Systems' audited financial statements for the fiscal year ended June 30, 2023 (including the unmodified audit opinion on the financial statements). Additional actuarial information is available in the accounting and financial reporting actuarial valuation as of June 30, 2023.

**Deferred Compensation Plans** – Several optional deferred compensation plans are available to State employees and employers of its political subdivisions. Certain employees of the University have elected to participate. The multiple-employer plans, created under Internal Revenue Code Sections 457, 401(k), and 403(b), are administered by third parties and are not included in the Annual Comprehensive Financial Report of the State of South Carolina. Compensation deferred under the plans is placed in trust for the contributing employee. The State has no liability for losses under the plans. Employees may withdraw the current value of their contributions when they terminate State employment. Employees may also withdraw contributions prior to termination if they meet requirements specified by the applicable plan.

**NOTE 6 - POSTEMPLOYMENT AND OTHER EMPLOYEE BENEFITS**

**Plan Description** - In accordance with the South Carolina Code of Laws and the annual Appropriations Act, the State provides post-employment health and dental and long-term disability benefits to retired State and school district employees and their covered dependents. The University contributes to the South Carolina Retiree Health Insurance Trust Fund (SCRHITF) and the South Carolina Long-Term Disability Insurance Trust Fund (SCLTDITF), cost-sharing multiple employer defined benefit postemployment healthcare, and long-term disability plans administered by the Insurance Benefits Division (IB), a part of the South Carolina Public Employee Benefit Authority (PEBA). Generally, retirees are eligible for the health and dental benefits if they have established at least ten years of retirement service credit. For new hires beginning employment May 2, 2008 and after, retirees are eligible for benefits if they have established 25 years of service for 100% employer funding and 15 through 24 years of service for 50% employer funding. Benefits become effective when the former employee retires under a State retirement system. Basic Long-Term Disability (BLTD) benefits are provided to active state, public school district, and participating local government employees approved for disability.

**Funding Policies** - Section 1-11-710 of the South Carolina Code of Laws of 1976, as amended, requires these postemployment and long-term disability benefits be funded through annual appropriations by the General Assembly for active employees to the IB and participating retirees to the PEBA, except for the portion funded through the pension surcharge and provided from the other applicable sources of the IB, for its active employees who are not funded by State General Fund appropriations. Employers participating in the Retiree Medical Plan are mandated by State statute to contribute at a rate assessed each year by the Office of the State Budget, 6.35% of annual covered payroll for 2024. The IB sets the employer contribution rate based on a pay-as-you-go basis. The University paid \$42,989,574, including the implicit subsidy, applicable to the surcharge included with the employer contribution for retirement benefits for the fiscal year ended June 30, 2024. BLTD benefits are funded through a person's premium charged to State agencies, public school districts, and other participating local governments. The monthly premium per active employee paid to IB was \$3.22 for the fiscal year ended June 30, 2024. The SCLTDITF premium is billed monthly by PEBA, Insurance Benefits and transferred monthly to the SCLTDITF. It is also funded through investment income.

Effective May 1, 2008 the State established two trust funds through Act 195 for the purpose of funding and accounting for the employer costs of retiree health and dental insurance benefits and long-term disability insurance benefits. The SCRHITF is primarily funded through the payroll surcharge. Other sources of funding include additional State appropriated dollars, accumulated IB reserves, and income generated from investments. The SCLTDITF is primarily funded through investment income and employer contributions. The SCLTDITF is considered immaterial and is not included in the University financial statements as well as the related notes and required supplementary information.

**UNIVERSITY OF SOUTH CAROLINA**  
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**NOTE 6 - POSTEMPLOYMENT AND OTHER EMPLOYEE BENEFITS, Continued**

A copy of the separately issued financial statements for the benefit plans and the trust funds may be obtained by writing to the South Carolina Public Employee Benefit Authority – Insurance Benefits Division, P.O. Box 11960, Columbia, South Carolina 29211-1960.

**Net OPEB Liability** - At June 30, 2024, the University reported a liability of \$780,312,925 for its proportionate share of the SCRHITF net OPEB liability. The OPEB liability was measured as of June 30, 2023, and the total OPEB liability used to calculate the net OPEB liability was determined by an actuarial valuation as of that date. The University's proportionate share of the OPEB liability was based on the University's long-term share of contributions to the postemployment benefits plans relative to the projected contributions of all participating employers, actuarially determined. At June 30, 2023, the University's proportionate share of the SCRHITF plan was 5.960461%.

**OPEB Expense** - For the year ended June 30, 2024, the University recognized OPEB expense of \$10,876,599 for SCRHITF.

**Deferred Outflows of Resources and Deferred Inflows of Resources Related to Post-Employment Benefits Other Than Pensions (OPEB)** – At June 30, 2024, the University reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

**South Carolina Retiree Health Insurance Trust Fund**

|                                                                                                                    | <b>Deferred Outflows<br/>of Resources</b> | <b>Deferred Inflows of<br/>Resources</b> |
|--------------------------------------------------------------------------------------------------------------------|-------------------------------------------|------------------------------------------|
| Differences between expected and actual experience                                                                 | \$ 13,805,118                             | \$ 177,815,557                           |
| Changes of assumptions                                                                                             | 156,539,857                               | 250,705,047                              |
| Net difference between projected and actual earnings<br>on OPEB plan investments                                   | 7,836,599                                 | -                                        |
| Changes in proportion and differences between University<br>contributions and proportionate share of contributions | 2,912,138                                 | 40,704,364                               |
| University contributions subsequent to the measurement date                                                        | 42,989,574                                | -                                        |
| Total                                                                                                              | <u>\$ 224,083,286</u>                     | <u>\$ 469,224,968</u>                    |

The \$42,989,574 reported as deferred outflows of resources related to OPEB resulting from University contributions subsequent to the measurement date for the SCRHITF plan during the year ended June 30, 2024 will be recognized as a reduction of the Net OPEB Liability in the year ending June 30, 2025.

The net amount of deferred outflows of resources and deferred inflows of resources related to retiree health benefits will be recognized in retiree health benefit expense as follows for the SCRHITF plan:

| <b>SCRHITF</b>      |           |                      |
|---------------------|-----------|----------------------|
| Year ended June 30: |           |                      |
| 2025                | \$        | (42,184,223)         |
| 2026                |           | (41,346,519)         |
| 2027                |           | (44,753,071)         |
| 2028                |           | (63,864,046)         |
| 2029                |           | (76,549,538)         |
| Thereafter          |           | (19,433,859)         |
|                     | <u>\$</u> | <u>(288,131,256)</u> |

**UNIVERSITY OF SOUTH CAROLINA**  
**Notes to the Financial Statements**

**NOTE 6 - POSTEMPLOYMENT AND OTHER EMPLOYEE BENEFITS, Continued**

**Actuarial Assumptions and Methods** - Actuarial valuations involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend. Actuarially determined amounts are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

The following table provides a summary of the actuarial assumptions and methods used in the June 30, 2022 actuarial valuation for SCRHITF:

**Actuarial Methods and Assumptions:**

|                           |                                                                                                                                                                                                                                                                                              |
|---------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Actuarial cost method     | Individual Entry-Age Normal                                                                                                                                                                                                                                                                  |
| Inflation                 | 2.25%                                                                                                                                                                                                                                                                                        |
| Investment rate of return | 2.75%, net of OPEB plan investment expense, including inflation                                                                                                                                                                                                                              |
| Single discount rate      | 3.86% as of June 30, 2023                                                                                                                                                                                                                                                                    |
| Demographic assumptions   | Based on the experience study performed for the South Carolina Retirement Systems for the 5-year period ending June 30, 2019                                                                                                                                                                 |
| Mortality                 | For healthy retirees, the gender-distinct South Carolina Retirees 2020 Mortality tables are used with multipliers based on plan experience. The rates projected on a fully generational basis using 80% of the ultimate rates of Scale MP-2019 to account for future mortality improvements. |
| Healthcare trend rate     | Initial trend starting at 6.00% and gradually decreasing to an ultimate trend rate of 4.00% over a period of 13 years                                                                                                                                                                        |
| Aging factors             | Based on plan specific experience                                                                                                                                                                                                                                                            |
| Participation rates       | 79% participation for retirees who are eligible for Funded Premiums<br>59% participation for retirees who are eligible for Partial Funded Premiums<br>20% participation for retirees who are eligible for Non-Funded Premiums                                                                |
| Notes                     | The single discount rate changed from 3.69% as of June 30, 2022 to 3.86% as of June 30, 2023.                                                                                                                                                                                                |

**Discount Rate** - The Single Discount Rate of 3.86% was used to measure the total OPEB liability for the SCRHITF. The accounting policy for this plan is to set the Single Discount Rate equal to the prevailing municipal bond rate. Due to the plan's investment and funding policies, the difference between a blended discount rate and the municipal bond rate would be less than several basis points (several hundredths of one percent)

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Notes to the Financial Statements

**NOTE 6 - POSTEMPLOYMENT AND OTHER EMPLOYEE BENEFITS, Continued**

**Long Term Expected Rate of Return**

| <b>Asset Class</b>           | <b>Target Allocation</b> | <b>Long-Term Expected<br/>Real Rate of Return</b> | <b>Allocation-Weighted<br/>Long-Term Expected<br/>Real Rate of Return</b> |
|------------------------------|--------------------------|---------------------------------------------------|---------------------------------------------------------------------------|
| U.S. Domestic Fixed Income   | 80.00%                   | 0.95%                                             | 0.76%                                                                     |
| Cash                         | 20.00%                   | 0.35%                                             | 0.07%                                                                     |
| Total                        | 100.00%                  |                                                   | 0.83%                                                                     |
| Expected Inflation           |                          |                                                   | 2.25%                                                                     |
| Total Return                 |                          |                                                   | 3.08%                                                                     |
| Investment Return Assumption |                          |                                                   | 2.75%                                                                     |

For the SCRHITF, the annual money-weighted rate of return on the plan investments was (3.60) percent.

**Sensitivity Analysis** - The following table presents the University's proportionate share of the SCRHITF net other postemployment benefits (OPEB) liability calculated using the discount rate of 3.86 percent, as well as what the University's proportionate share of the net OPEB liability would be if it were calculated using a discount rate that is 1 percentage point lower (2.86 percent) or 1 percentage point higher (4.86 percent) than the current rate:

**Sensitivity of the SCRHITF Net OPEB Liability to Changes in the Discount Rate**

| <b>1% Decrease<br/>2.86%</b> | <b>Current Single Discount<br/>Rate Assumption<br/>3.86%</b> | <b>1% Increase<br/>4.86%</b> |
|------------------------------|--------------------------------------------------------------|------------------------------|
| \$921,127,798                | \$780,312,925                                                | \$666,744,596                |

**Sensitivity of the Collective Net OPEB Liability to Changes in the Healthcare Cost Trend Rate**

Regarding the sensitivity of the net OPEB liability to changes in the healthcare cost trend rates, the following presents the plan's net OPEB liability, calculated using the assumed trend rates as well as what the plan's net OPEB liability would be if it were calculated using a trend rate that is one percent lower or one percent higher:

| <b>1% Decrease</b> | <b>Current Healthcare Cost<br/>Trend Rate Assumption</b> | <b>1% Increase</b> |
|--------------------|----------------------------------------------------------|--------------------|
| \$647,925,489      | \$780,312,925                                            | \$950,402,151      |

**NOTE 7 - CONTINGENCIES, LITIGATION, AND PROJECT COMMITMENTS**

The University is party to various lawsuits arising out of the normal conduct of its operations. Management is not aware of any material claims or lawsuits against the University that are not covered by insurance or whose settlement would materially affect the University's financial position.

The University participates in certain Federal grant programs. These programs are subject to financial and compliance audits by the grantor or its representative. Such audits could lead to requests for reimbursement to the grantor agency for expenditures disallowed under terms of the grant. Management is not aware of any material disallowances.

**UNIVERSITY OF SOUTH CAROLINA**  
**Notes to the Financial Statements**

**NOTE 7 - CONTINGENCIES, LITIGATION, AND PROJECT COMMITMENTS, Continued**

The University had outstanding commitments of \$525,740,505 for capital and \$145,742,733 for noncapital projects as of June 30, 2024. The University anticipates funding these projects out of current resources, current bond issues, private gifts, student fees, and state capital appropriations.

**NOTE 8 – LEASES, SUBSCRIPTIONS, AND OTHER ARRANGEMENTS**

**Lessee Agreements** - The University leases land, space and equipment from external parties for various terms under long-term, non-cancelable lease agreements. The leases expire at various dates through 2039 and provide for renewal options ranging from one year to ten years. In accordance with GASB Statement No. 87, the University records lease assets and lease liabilities based on the present value of expected payments over the term of the leases. The expected payments are discounted using the interest rate charged on the lease, if available, or are otherwise discounted using an estimated incremental borrowing rate. See Note 4 for information on lease assets and the related accumulated amortization. Future commitments for leases having remaining terms in excess of one year as of June 30, 2024, were as follows:

|                                     | <u>Principal</u>     | <u>Interest</u>     | <u>Total</u>         |
|-------------------------------------|----------------------|---------------------|----------------------|
| 2025                                | \$ 5,084,270         | \$ 1,703,627        | \$ 6,787,897         |
| 2026                                | 4,350,118            | 1,383,565           | 5,733,683            |
| 2027                                | 3,978,776            | 1,084,972           | 5,063,748            |
| 2028                                | 3,453,159            | 814,567             | 4,267,726            |
| 2029                                | 1,552,381            | 639,978             | 2,192,359            |
| 2030-2034                           | 6,088,298            | 1,934,914           | 8,023,212            |
| 2035-2039                           | 2,826,033            | 228,299             | 3,054,332            |
| Total future minimum lease payments | <u>\$ 27,333,035</u> | <u>\$ 7,789,922</u> | <u>\$ 35,122,957</u> |

In the current fiscal year, the University incurred expenses of \$956,077 for office copier contingent rentals on a cost per copy basis.